# GMS WEEKLY

Your Source for Recycling News

September 16th, 2022
Volume 242, Issue 1048
*Week 37*


**Highlights:**

- **PKR and BDT tumble.**
- **'Wait-and-watch'.**
- **India steady.**
- **Supply increase?**
- **Busier end.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

**"The best way out is always through."**

*– Robert Frost*

## MARKET COMMENTARY

### CURRENCY CAUTION!

While the recycling industry seemed to witness some activity surfacing from the sub-continent markets last week, this week turned into a currency frenzy in both, Bangladesh and Pakistan, as the summer of minimal activity and sales seems as though it will sluggishly drag on.

Both locations reportedly experienced a sharp decline in their domestic currencies within the week, leading to more confusion & caution in the sub-continent and this could take a week (or more) of a 'watch-and-wait' attitude to see where post-currency-crash vessel pricing will eventually land.

It was the Indian market that remained the only (sub-continent) recycling destination where demand and fundamentals remained ironically stable through the course of the week, despite the ongoing (domestic) plate price volatility that has beset itself as an enduring reality.

West end of things, the Turkish market suffered another decline in local plate prices this week, ensuring local sentiment remains disinterested & depressed and would seemingly remain so, for some time ahead.

On the supply side, even as dry bulk charter levels cool off, the industry has still not witnessed a deluge of dry units being introduced for recycling, despite a collection of 90s built units that are still operating on various trades and this is where much of the supply is expected to come from as we head into the fourth quarter of the year.

There is also the expectation that containers will return for recycling at some stage, as charter rates have also come off from some of the historical highs seen over this latest bull run.

As such, the question as to whether it may be as busy an end to the year is up in the air, at least until pricing chart below eventually re-adjusts to the new realities on the ground.

For week 37 of 2022, GMS demo rankings / pricing for the week are as below.

| Demo Rank | Location | Sentiment | Dry Bulk USD / LDT | Tankers USD / LDT | Containers USD / LDT |
|---|---|---|---|---|---|
| **1** | Bangladesh | Weak | 570 / LDT* | 580 / LDT* | 590 / LDT* |
| **2** | India | Weak | 560 / LDT | 570 / LDT | 580 / LDT |
| **3** | Pakistan | Weak | 550 / LDT | 560 / LDT | 570 / LDT |
| **4** | Turkey | Weak | 240 / LDT | 250 / LDT | 260 / LDT |

**Small LDT*

# BANGLADESH

## TAKA TUMULT!

*Historically stable.*

Historically, the Bangladeshi government tightly controlled the availability of U.S. Dollars in the country, in order to regulate the exchange rate between the Bangladeshi Taka and the U.S. Dollar. This resulted in the BDT being far more a stable currency over time, than its competing sub-continent neighbours.

*Taka plummets to BDT 106.6X*

This week, however, the Bangladeshi Central Bank finally released the U.S. Dollar rates to be set by the free markets as opposed to governmental controls, resulting in the official U.S. Dollar bank rates against the Taka to sharply plummet from region BDT 95 to BDT 106.6X within a matter of days – a drop well in excess of 10%.

This is a pivotal moment in Bangladesh's recycling history i.e. releasing local Recyclers of the security of a key fundamental in pricing ships, that will now be just another critical item for local Buyers to strongly consider on future negotiations.

Meanwhile, as local recycling yards are at the emptiest they have been for some time now, there are signs of a lingering demand amongst local Recyclers who are looking to fill those empty spaces and get back to business.

However, local frustrations of not being able to open L/Cs and beach vessels due to the recent government mandate on limiting Central Bank approvals on any L/Cs over USD 2 – USD 3 million, runs deep amongst the domestic ship recycling fraternity and is severely limiting the top paying market from making a decent comeback on some of the recent units on offer.

We can only hope for less drastic of a re-adjustment on the effects of the government's decision, where prices will re-adapt sooner (rather than later) and that should hopefully affect the stability of this market in the near future.

**NO MARKET SALES REPORTED**

# INDIA

## NUMBER 1?

*Top of the ranks?*

As Pakistani and Bangladeshi currencies plummeted this week, we can certainly expect their vessel offerings to negatively re-adjust moving forward and this could inadvertently slide India into the top spot, should the competing market declines be sufficient (drastic?) enough.

This certainly sounds optimistic for future sub-continent deliveries given that India has been the one notable performer whilst its neighbouring competitors continue to struggle with L/C restrictions, currency depreciations, sliding steel prices and subsequent performance issues at the waterfront.

*Surprise?*

Meanwhile, the excruciatingly dismal supply of tonnage leaves much to be desired for, despite where various markets levels stand today.

On the local fundamentals front, the Indian Rupee suffered some declines, weakening from Rs. 79.2X back to Rs. 79.6X against the U.S. Dollar this week while local steel plate prices jumped around, eventually ending the week just USD 1/Ton over last.

As such, the coming week(s) may be a surprise for the Indian Recyclers.

**NO MARKET SALES REPORTED**

# PAKISTAN

## ONE STEP FORWARD, TWO BEHIND?

*PKR plummets*

Like the Bangladeshi Taka (that depreciated over 10% this week), the Pakistani Rupee depreciated tragically by over PKR 10, ending the week at PKR 236.6X. In fact, the PKR has been gradually disintegrating over the last month, to the point it has depreciated by well over 10% within this time.

Local steel plate prices aren't helping the domestic recycling sector as they danced in sync with the currency, declining by nearly USD 17/Ton this week.

*Sentiment deteriorates?*

Logically, and as has historically been the case with Gadani Recyclers, local sentiments tend to be rather fragile and are naturally going to deteriorate moving forward, just how far down remains the question.

Domestic flooding also continues to be a problem & the recent effects on domestic fundamentals have only exacerbated an already tenuous situation in Gadani.

The recent decline in the PKR also calls into question the recent fixture of a Suezmax tanker to Gadani Buyers (at impressive levels over USD 600/LDT last week) as to whether the deal will eventually be 'safely' concluded, given Gadani Buyers questionable performances during the recent collapse.

As such, it seems as thought the Pakistani market may have taken one step forward and two steps back this week.

**NO MARKET SALES REPORTED**

# TURKEY

## MORE OF THE SAME!

*Fundamentals quiver.*

Turkey continues with more of the same.

With local steel plate prices that have declined marginally by about USD 5/Ton, an import steel price that continues to languish USD 20/Ton lower since a couple of weeks, and a Lira that is jumping around a record TRY 18.2X against the U.S. Dollar, the ongoing situation remains a grim reminder to just how quiet Turkey has been since its USD 250/MT decline in vessel prices (and will likely continue to be).

*Silent till 2023?*

Sentiments remain weak, Aliaga Recyclers remain disinterested in the non-existent number of units being proposed, and activity as a result, is as expected.

It seems increasingly possible that the Turkish market could be out of commission, not only for the 4th quarter this year, but also well into 2023.

**NO MARKET SALES REPORTED**

# AMAZING FACTS

- *Humans aren't the only animals that dream. Studies have indicated rats dream about getting to food or running through mazes. Most mammals go through REM sleep, the cycle in which dreams occur, so scientists think there's a good chance they all dream.*
- *The inventor of the microwave appliance received only $2 for his discovery. Percy Spencer was working as a researcher for American Appliance Company (now Raytheon) when he noticed that a radar set using electromagnetic waves melted the candy bar in his pocket. He had the idea to make a metal box using microwaves to heat food, but the company was the one to file the patent. That was in 1945, and he received a $2 bonus but never any royalties.*
- *The Eiffel Tower can grow more than six inches during the summer. The high temperatures make the iron expand.*
- *Glitter may have originated on a ranch. According to local lore, a man by the name of Henry Ruschmann from Bernardsville, New Jersey, invented glitter by accident in 1934 while working on a cattle ranch. The New York Times reports that in the popular origin story, Ruschmann, a machinist, was trying to find a way to dispose of scrap material by crushing it into tiny pieces. Plastic went in, glitter came out, and the rest is commonly accepted as history.*

## IMPORTANT DATES

| INDIA | |
|---|---|
| **BANK HOLIDAYS** | **BEACHING TIDES** |
| **No holidays in September** | September 07 – September 15<br>September 24 – October 02 |

| BANGLADESH | |
|---|---|
| **BANK HOLIDAYS** | **BEACHING TIDES** |
| **No holidays in September** | September 09 – September 12<br>September 25 – September 28 |

| IMPORTANT BANK HOLIDAYS | | |
|---|---|---|
| **CHINA** | **PAKISTAN** | **TURKEY** |
| September 10 – September 12 – Mid-Autumn Festival | **No holidays in September** | **No holidays in September** |

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## ALANG - Port Position as of September 16, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| 1 | Aristotle | 5,065 | Fishing Vessel | Arrived September 17 |
| **Total Tonnage** | | **5,065** | | |

## CHATTOGRAM - Port Position as of September 16, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| **1** | **Ariana** | **15,672** | **Tanker** | **Arrived June 22** |
| 2 | Bonvoy 8 | 3,348 | Tanker | Arrived September 14 |
| **3** | **Gala** | **16,885** | **Tanker** | **Arrived February 28** |
| *4* | *Gangwon 01* | *11,253* | *RoRo* | *Beached September 10* |
| 5 | New Smile | 2,206 | Tanker | Arrived September 15 |
| *6* | *Ocean 02* | *2,395* | *Offshore Supply Vessel* | *Beached September 12* |
| 7 | Roknoor 3 | 600 | Bulk Carrier | Arrived September 15 |
| 8 | Shankhachil | 483 | Tanker | Arrived September 15 |
| *9* | *Victory* | *3,153* | *Fishing Vessel* | *Beached September 11* |
| **10** | **Winton T128** | **975** | **Bulk Carrier** | **Arrived June 23** |
| **Total Tonnage** | | **56,971** | | |

## GADANI - Port Position as of September 16, 2022

| No. | VESSEL NAME | LDT | TYPE | STATUS |
|---|---|---|---|---|
| | | **No new vessels reported.** | | |
| **Total Tonnage** | | **-** | | |

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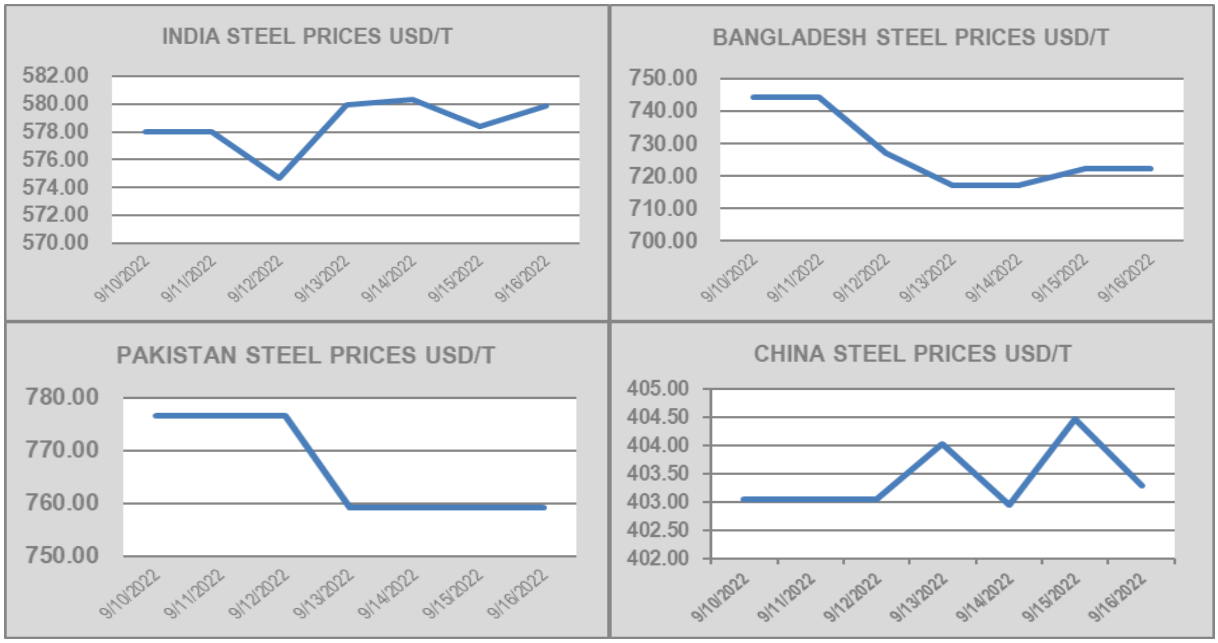
# Steel Plate Prices

| DATE | INDIA STEEL PRICES USD/T | INDIA STEEL PRICES | PAKISTAN STEEL PRICES USD/T | PAKISTAN STEEL PRICES | BANGLADESH STEEL PRICES USD/T | BANGLADESH STEEL PRICES | CHINA STEEL PRICES USD/T |
|---|---|---|---|---|---|---|---|
| 9/10/2022 | 578.03 | 46,000.00 | 776.52 | 172,000.00 | 744.28 | 70,000.00 | 403.05 |
| 9/11/2022 | 578.03 | 46,000.00 | 776.52 | 172,000.00 | 744.28 | 70,000.00 | 403.05 |
| 9/12/2022 | 574.70 | 45,700.00 | 776.52 | 172,000.00 | 727.27 | 72,000.00 | 403.05 |
| 9/13/2022 | 579.91 | 45,900.00 | 759.22 | 175,000.00 | 717.17 | 71,000.00 | 404.04 |
| 9/14/2022 | 580.31 | 46,100.00 | 759.22 | 175,000.00 | 717.17 | 71,000.00 | 402.95 |
| 9/15/2022 | 578.42 | 46,100.00 | 759.22 | 175,000.00 | 722.22 | 71,500.00 | 404.48 |
| 9/16/2022 | 579.84 | 46,300.00 | 759.22 | 175,000.00 | 722.22 | 71,500.00 | 403.29 |

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